

Navigating economic storms: Lessons from monetary and fiscal policy during COVID-19

A speech delivered to the Citi Australia & New Zealand
Investment Conference, Sydney Australia

On 15 October 2025

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Introduction

Kia ora koutou. I'd like to start by acknowledging the Traditional Custodians of the land we're meeting on today and pay my respects to their Elders past and present.

It's great to be here with you here in Sydney, a wonderful city that I was lucky enough to live in for a few years back in the 1980s, which was a massive amount of fun. Thanks to the organisers for inviting me back today.

I want to share some lessons on how monetary and fiscal policy can work alongside each other in both stable and turbulent economic times. Drawing on New Zealand's pandemic experience, I'll reflect on how the two sets of tools are used over the economic cycle and how that changes when the Official Cash Rate (OCR) reaches its Effective Lower Bound (ELB). I'll finish with some thoughts on how monetary policy can work alongside fiscal policy in a crisis while maintaining its independence.

I want to be clear up front that we do not expect to use additional monetary policy (AMP) tools again anytime soon. The OCR is our preferred tool for managing the level of monetary stimulus through economic cycles, provided it is above its ELB. Rather, COVID-19 gave us a crash course on the use of AMP tools and on how monetary and fiscal policy can interact in times of extreme economic turbulence. It's important that we learn from that and carry those lessons forward to be ready for the next major shock.

Also, I will not be revisiting the question of whether the right amount of monetary and fiscal policy stimulus was delivered during the pandemic. That's a topic that we have dealt with at length in two recent RBNZ reviews of pandemic-era monetary policy.¹

So, what can we learn from our pandemic experience about how monetary and fiscal policy should work alongside each other? Here are some key lessons:

- Outside of crises, monetary policy stabilises the economy by keeping inflation low and stable over the medium term. Fiscal policy maintains long-run debt sustainability. Whether monetary and fiscal policies are moving in the same direction or apart, the economy can remain stable as each policy area pursues its objectives independently.
- During economic crises, the OCR can hit its effective lower bound. At that point, additional monetary policy tools and fiscal policy can help stabilise the economy. Objectives can briefly align in an 'all hands on deck' effort to steady financial markets, economic activity, employment, and inflation.
- Analysis by the Treasury finds that during the COVID-19 pandemic, fiscal policy tools provided crucial support to stabilise incomes and prevent mass unemployment. However, lags and persistence in fiscal spending highlighted the challenges of using these tools for economic stabilisation.

¹ This topic is dealt with at length [RBNZ \(2022\)](#), and [RBNZ \(2025\)](#).

- The use of Large Scale Asset Purchases (LSAPs) by the Monetary Policy Committee (MPC) during the pandemic stabilised financial markets and supported economic recovery by lowering interest rates. Modelling suggests that LSAPs had only a small impact on the Crown balance sheet once the economic benefits are considered. Accordingly, LSAPs have a key role to play in financial and economic crises in which the OCR hits the ELB.
- At the ELB, monetary and fiscal policymakers need clear sight of each other's actions. Arms-length communication – fine in smooth seas – is not enough in a crisis. Timely and complete information is key when no one policy area can necessarily take the lead, and when the optimal choice of tools is not always clear cut.
- Monetary and fiscal policy working alongside each other in a crisis does not mean joint decision-making. Independent monetary policy is essential to keep inflation expectations anchored and central bank credibility intact. Monetary policymakers must remain ready and able to deploy all available tools swiftly and at the right scale as required.

Central bank independence and economic stability

The late 1970s and 1980s are a useful starting point for understanding how monetary and fiscal policy operate in New Zealand today. Back then, the political temptation was to use fiscal policy to push demand beyond the economy's productive capacity, with monetary policy set to accommodate. The outcome was unsustainable growth, rising public debt, and double-digit inflation.²

The circuit breaker came with the sweeping reforms of the mid- to late-1980s. Among much else, these reforms clarified the roles, goals, and timeframes of macroeconomic stabilisation policies. Critically, monetary policy was given operational independence and a clear inflation target – creating the anchor of stability that still underpins New Zealand's framework today.

Since then, monetary policy has worked to maintain low and stable inflation by smoothing the business cycle and keeping inflation expectations anchored. Fiscal policy provides public goods and services and redistributes income, while maintaining long-run debt sustainability. Fiscal policy does stabilise demand, but mainly through automatic stabilisers – changes in tax and transfers that move with the economy.

Monetary and fiscal policies are distinct from structural policy settings. Structural policies – including regulation – shape the economy's long-run potential. They influence how competitive markets are, how easily resources shift from low- to high-productivity sectors, and how quickly new technologies spread across firms. These settings matter not just for long-run growth, but also for how resilient the economy is when shocks hit.

Smooth seas: the zone of stability

When monetary policy is focused on low and stable inflation, and fiscal policy on maintaining sustainable debt, the economy can enter a 'zone of stability'.³ In this zone, the influence of one policy on the other is predictable and manageable, so stability is maintained even when policies sometimes row against each other to meet their different objectives.

² (Graham & Smith, 2012).

³ (Bank for International Settlements, 2023).

Delegating an inflation target to an independent central bank limits the need for tight coordination when economic seas are calm. Monetary policy takes fiscal settings as given and responds accordingly, with arm's-length communication between authorities. Monetary policy moves second in response to fiscal policy decisions made by government.⁴

The zone of stability depends on clear mandates, credible institutions, and anchored inflation expectations. It also means building fiscal buffers in good times, so there is room to respond when shocks arrive. It rests on sustainable public debt. Very high debt risks 'fiscal dominance', where monetary policy is forced to accommodate government deficits. This erodes central bank independence, increases inflation risk, and may move the economy out of the stable zone.

Structural policies are also key – by lifting productivity growth and improving economic resilience, pro-growth policy settings effectively widen the zone of stability.

Stormy seas: potentially 'all hands on deck'

In an economic crisis, the OCR may hit its ELB – the lowest rate it can be cut to without significant distortions or unintended consequences.⁵ At that point, if more stimulus is needed to stabilise the economy, AMP tools and fiscal policy come into play.

In these circumstances, objectives can temporarily align, with both monetary and fiscal policies acting countercyclically to offset the shock. Fiscal measures are particularly effective near the lower bound, as spending is less likely to crowd out other expenditure or trigger tighter monetary settings.⁶

Crisis conditions may also create more frequent and irregular decision-making cycles. The strict fiscal 'leader' and monetary policy 'follower' dynamic breaks down, placing greater emphasis on more timely and full information sharing. However, as I'll elaborate on in a minute, even in a crisis, it is not about making joint decisions nor giving politicians license to direct monetary policy.

Monetary and fiscal policy during COVID-19

Let's look at the ebb and flow of monetary and fiscal policy setting in New Zealand over recent decades before focusing in on the COVID-19 experience.

After the Global Financial Crisis of 2008, monetary and fiscal policy both moved quickly into expansionary territory to support confidence and stability (figure 1). The Canterbury earthquakes in 2011 resulted in further fiscal stimulus, while monetary policy became less expansionary as the wider economy recovered.

By the mid-2010s, the pattern had flipped: monetary policy was expansionary given weak growth and low inflation, while fiscal policy tightened to pay down debt and rebuild fiscal buffers. That

⁴ Economists refer to this as a Stackelberg game, where monetary policy internalises fiscal actions to ensure price stability ([Brook, 2013](#)).

⁵ The effective lower bound (ELB) for interest rates reflects two main factors: the cost and convenience of holding cash, and how banks respond to very low rates. If interest rates drop too low, banks may struggle to lower deposit rates without losing customers to cash. This can squeeze their profits and make them less willing to lend, reducing credit availability in the economy (see [BIS, 2019](#)).

⁶ The Treasury estimates that fiscal multipliers are positive and increase around the ELB ([The Treasury, 2024](#)). Some modelling estimates a ratio of greater than 1:1 for each dollar spent on some forms of spending when interest rates are fixed around the lower bound for at least two years ([Binning, 2024](#)).

proved prescient, giving fiscal policy the space to swing back to being strongly expansionary when COVID-19 struck.⁷

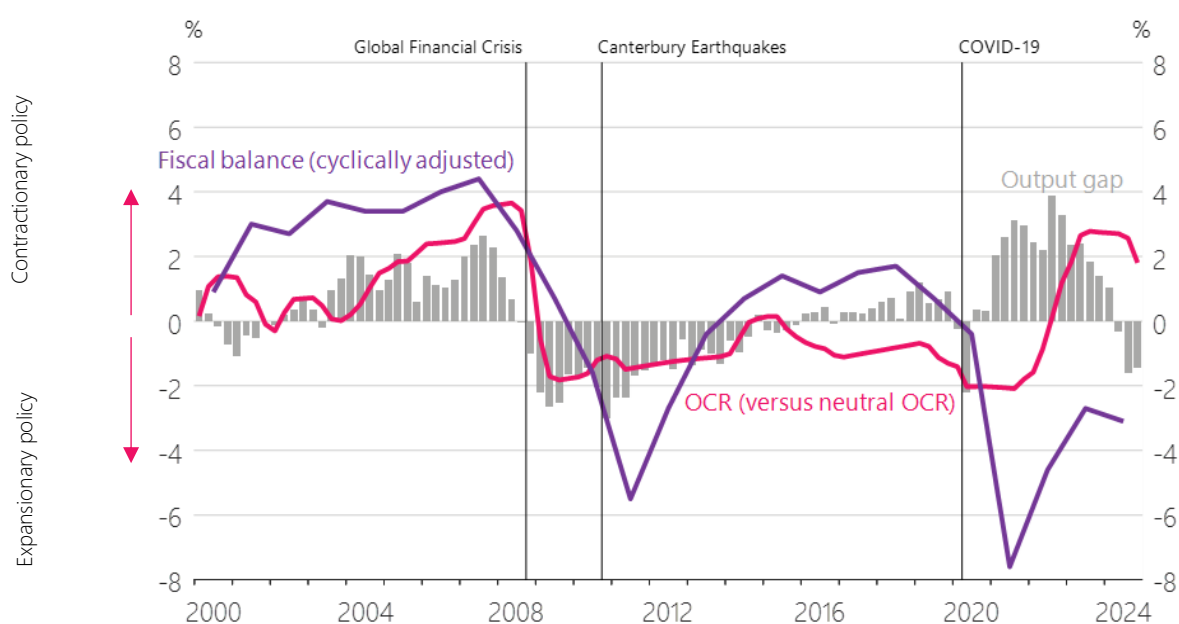
During the pandemic, New Zealand's monetary and fiscal authorities both acted swiftly to stabilise the economy. The MPC adopted a 'least regrets' approach, cutting the OCR to 0.25% and committing to hold it there for a year. They also purchased \$53 billion in government bonds through the LSAP programme and provided \$19 billion in bank funding *via* the Funding for Lending Programme.

This balance sheet expansion was comparable to efforts in Australia and Canada and well below the OECD average (figure 2). It was also the first time the MPC had implemented an LSAP programme, and the total size of the RBNZ's balance sheet peaked at a relatively low share of GDP compared to the OECD average.⁸

New Zealand's fiscal policy was arguably more assertive. Treasury estimates the total fiscal cost of responding to the COVID-19 pandemic at \$66 billion – around 20 percent of GDP and well above the OECD average (figure 3).

It's important that we learn from the use of these tools in the pandemic. To that end, we have reviewed our COVID-era monetary policy settings and studied the effects of LSAPs, the main AMP Tool used by the MPC during the crisis. The Treasury has reviewed how fiscal tools were used. Let's turn to what we've learned so far.

Figure 1: Monetary and fiscal policy stances*



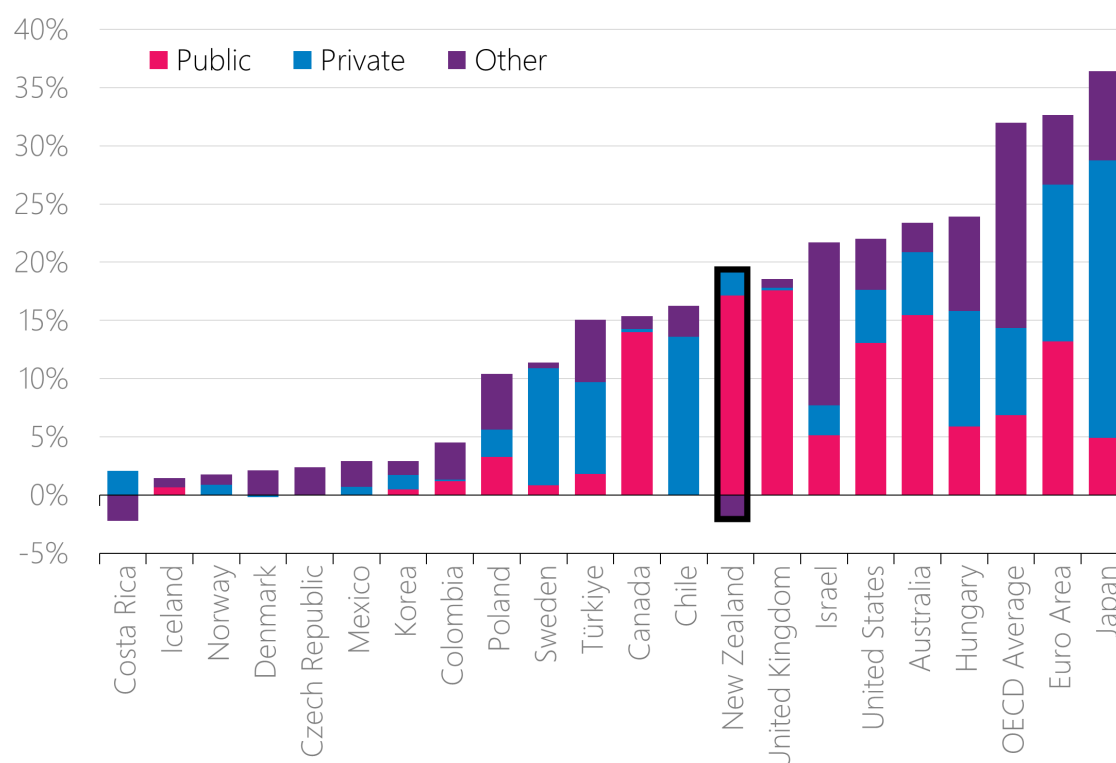
Source: RBNZ, The Treasury.

Notes: The monetary stance is proxied as the OCR minus the estimated long-run nominal OCR (indicator average, % p.a.). The fiscal stance is proxied by the primary balance adjusted for automatic stabilisers (% of GDP). The output gap is as a % of potential GDP.

⁷ White (2024).

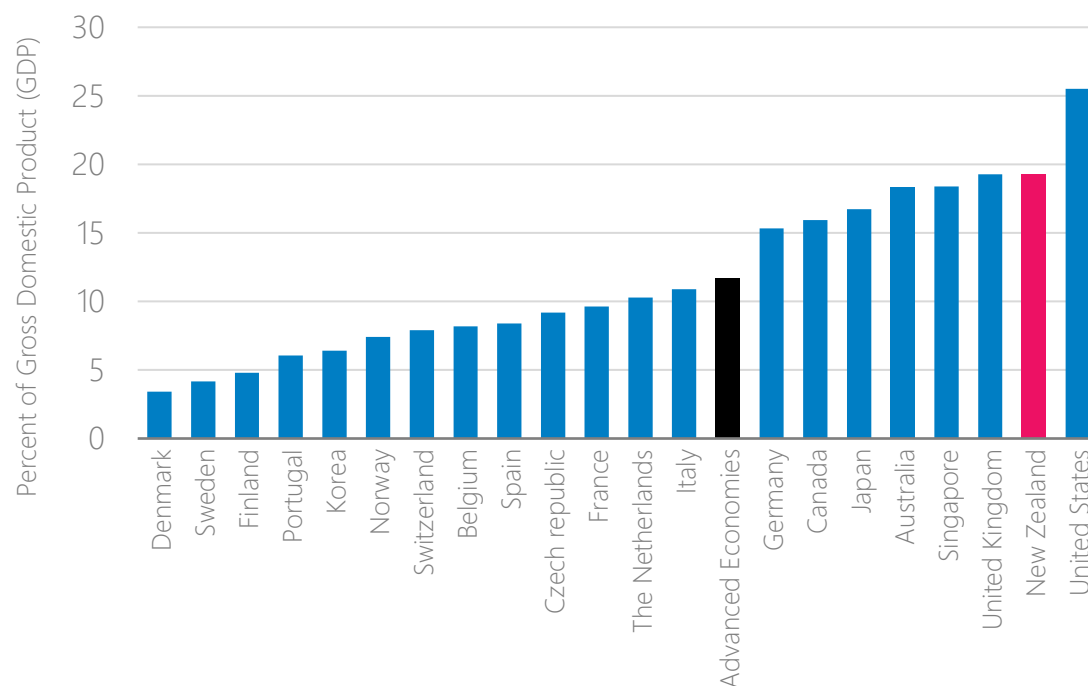
⁸ According to BIS data, the size of the RBNZ's balance sheet peaked at about 26% of GDP in 2022q3 in contrast to a peak of 60% on average across central banks in OECD economies (OECD average excluding Luxembourg).

Figure 2: Change in central bank assets (% nominal GDP), Q4 2019 to Q4 2021



Sources: IMF; Haver. Public assets are claims on central and local governments. Private assets are claims on banks, other financial institutions, public non-financial corporations, and the private sector (guarantees not considered). Other assets include FX, gold reserves, and claims outside public/private categories. OECD Average excludes Luxembourg.

Figure 3: COVID-19 fiscal measures across advanced economies (as of October 2021)



Source: IMF Database of Fiscal Policy Responses to COVID-19 (Oct 2021). Figure 3 shows IMF estimates of additional spending and foregone revenue in response to the pandemic. These measures include health and unemployment spending, capital grants, wage subsidies, transfers, and tax relief. Equity, loans, and guarantees are excluded as they have no immediate fiscal impact and final costs are not yet reported. This estimate differs slightly from the more recent Treasury estimate which is 20.4% of GDP.

Fiscal policy tools

Fiscal actions in a crisis should ideally be timely, targeted, and temporary. Support should arrive quickly, target affected people, and phase out post-crisis to avoid unsustainable debt.⁹ According to the Treasury, New Zealand's fiscal response to the pandemic only partially met these criteria (table 1).¹⁰

The wage subsidy reached businesses within days and was clearly time limited. Broadly speaking, it was targeted at preventing mass unemployment, although there were concerns about businesses not needing the subsidy being eligible. The wage subsidy may have also weakened 'creative destruction' in the economy, slowing productivity growth.¹¹

Other parts of the fiscal response failed the 'timeliness' and 'temporary' tests. For example, Treasury estimates that over 70% of the rise in general government consumption and investment occurred after mid-2021, and over a third after mid-2022, by which time the economy was recovering strongly. More generally, government consumption and investment as a share of the economy remained high by historical standards in the aftermath of the pandemic, but has started to decline in recent years (figure 4).

This lag and persistence in pandemic-related fiscal spending resulted in fiscal policy continuing to add economic stimulus while monetary policy became restrictive to reduce inflation and keep medium-term inflation expectations in check (figure 1 above). In other words, containing inflation over this period required the OCR to be higher than otherwise if fiscal support during the pandemic had been more timely and temporary.

Looking ahead, as Treasury outline, fiscal policy challenges will intensify as ageing populations drive structural increases in fiscal spending, particularly through New Zealand's pension and healthcare costs (figure 5). Without reform, these pressures risk shrinking the zone of stability and placing greater strain on both fiscal and monetary policy.

⁹ (Elmendorf & Furman, 2008)

¹⁰ (The Treasury, 2025)

¹¹ Recent international studies indicate that wage subsidy programmes may reduce productivity by limiting the movement of workers between jobs (Tibor Lalinsky et al., 2024), (Lalinsky, Meriküll & Lopez-Garcia, 2024), (Francois de Soyres et al., 2024), (Tenreyro, 2021). In New Zealand, there is some direct evidence of negative productivity impacts from the COVID-19 wage subsidy, however observed short-term effects on resource allocation fade by late 2020 (Andrews, Charlton & Moore, 2021). Both the [New Zealand Royal Commission](#) and [Hyslop, Maré & Minehan \(2023\)](#) highlight the need for further research to determine if broader, long-term productivity consequences exist within New Zealand.

Table 1: Treasury's analysis of fiscal policy tools effectiveness during a downside economic shock or cycle

Fiscal tool	Timely	Temp.	Targeted	COVID-19 Example(s)
Transfers / Benefits	👍	👍	👍	COVID-19 Income Relief Payment, benefit increases, Winter Energy Payment
Lump-sum Payments	👍	👍	👍*	2022 Cost of Living Payment
Subsidies	👍	👍	👍	Childcare/support, public transport fee reductions
Wage Subsidies, Credit & Liquidity Support	👍	👍	👍	COVID-19 Wage Subsidy, Small Business Cashflow Scheme, Business Finance Guarantee Scheme
Government Spending	👎	👍	👍	Shovel-Ready Infrastructure, public consumption, health system spending

Source: Based on analysis from Treasury (2025) Te Ara Mokopuna 2025 Long-term Insights Briefing and table 4.1 p71-2.

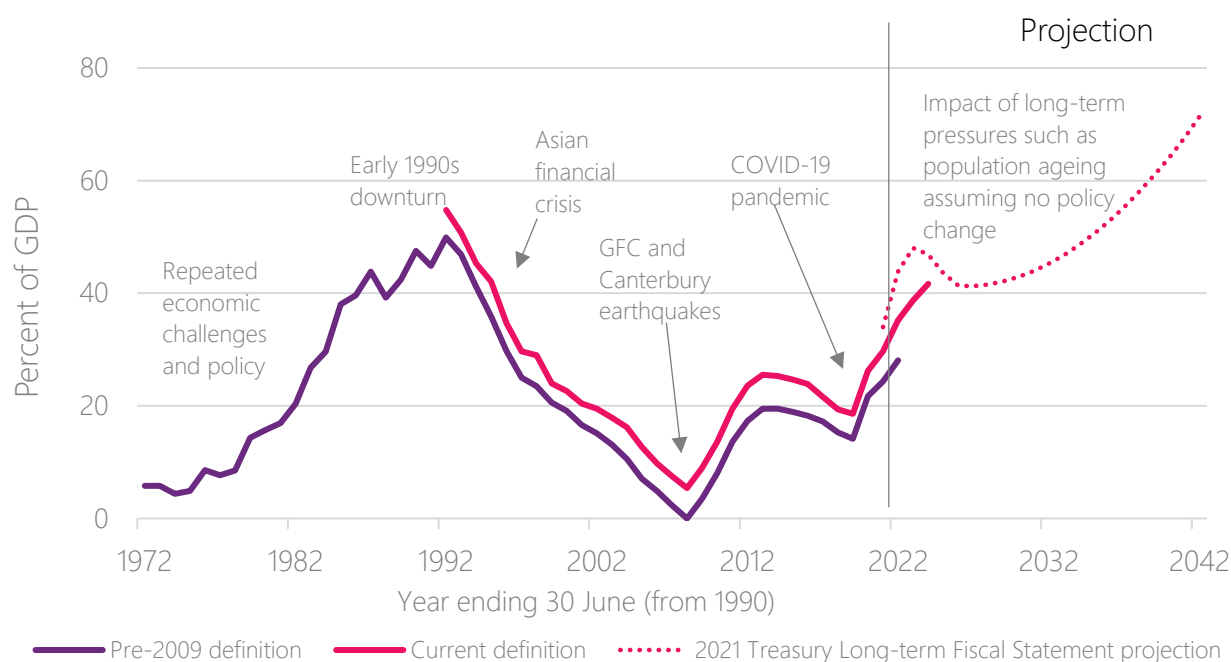
👍 = yes, 👎 = no, 👍 = mixed results or varies by tool. *Treasury note limits to geographical targeting with lump-sum payments.

Figure 4: Government consumption and investment (share of potential GDP, seasonally adjusted)



Source: Statistics New Zealand, The Treasury, Reserve Bank of New Zealand estimates.

Figure 5: Public debt and economic shocks: New Zealand (Net core crown debt, % GDP)



Source: (The Treasury, 2025).

Additional monetary policy tools: the LSAP

Let's turn to monetary policy during the pandemic, with a focus on LSAPs – the primary tool for delivering additional monetary policy stimulus once the OCR reached its ELB at the time of 0.25%.

As has been widely publicised, the LSAP programme resulted in mark-to-market losses of around \$10.5 billion for the RBNZ once the recovery kicked in and interest rates increased. That's about 3.2% of New Zealand's GDP. These losses occurred as the post-pandemic surge in inflation resulted in sharply higher short-term interest rates, crystallising large losses on the LSAP portfolio.

So, were LSAPs worth the cost? To go some way towards answering that question, we need to understand the various ways in which LSAPs influenced financial markets and the broader economy during the crisis.

First, LSAPs clearly helped keep financial markets in New Zealand running smoothly. By providing liquidity at critical times, LSAPs restored market confidence and improved trading conditions (figure 6). This was critical in transmitting lower interest rates through to the real side of the economy.

Second, LSAPs lowered long term interest rates. In combination with other tools, our estimates suggest that this was equivalent to cutting the OCR by around 90 basis points.¹² To help understand if the benefits of this were worth the cost, we have modelled the broader economic effects of LSAPs.¹³ Of course, this model is not perfect – no model is. But it helps bring the broader picture into focus and advance the conversation on the net benefits of LSAPs.

¹² (Reserve Bank of New Zealand, 2022)

¹³ (Chipeniuk, Kolasa, Lindé, Ludvich, & Quigg, 2025). This model of quantitative easing has been calibrated to reflect the New Zealand economy during COVID-19. We are releasing this work alongside today's speech.

On balance, the modelling suggests that LSAPs worked broadly as anticipated by the MPC and effectively paid for themselves. In short, LSAPs lowered long-term interest rates, which held down the exchange rate and supported exports (figure 7). In turn, this supported economic growth and prevented inflation from dropping further below the target midpoint in 2020 (figure 8).

By boosting economic activity during the pandemic, LSAPs increased government tax revenues. This higher revenue almost entirely covered the direct losses from LSAPs, leaving consolidated Crown debt virtually unchanged over the medium term (figure 9).

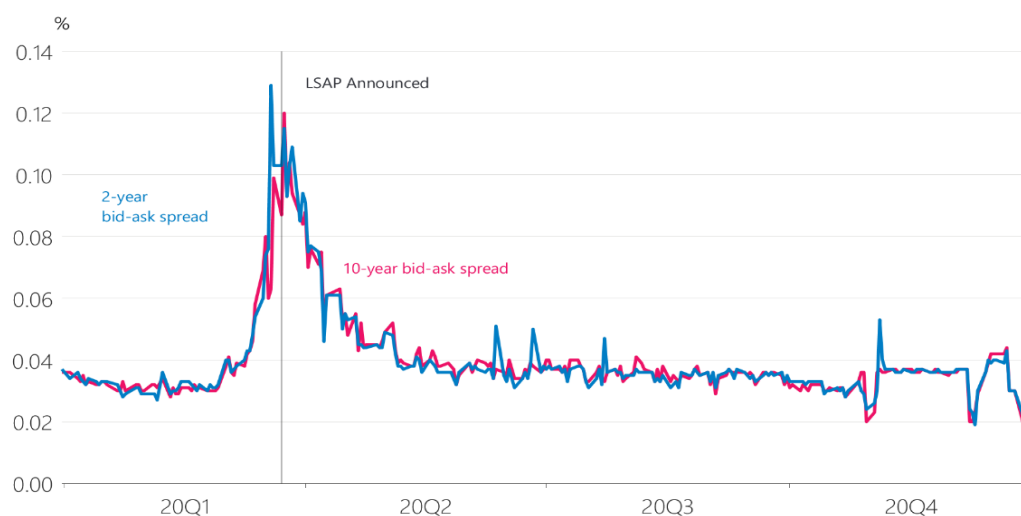
Overall, the model suggests LSAPs are a powerful macro-stabilisation tool. But like fiscal tools, they come with trade-offs. They allow for a faster recovery, with stronger growth and tax revenue, but also the potential for direct losses on bond sales. Moreover, our modelling to date suggests that they rely heavily on the exchange rate for transmission, rather than working through domestic channels. Judging these risks and trade-offs will be vital within the context of any particular crisis.

This model also allows us to explore the potential use of negative interest rates to support economic activity and keep inflation within target during a crisis. If moderately negative interest rates had been possible during the pandemic, our work suggests that could have delivered similar outcomes for growth and inflation as LSAPs, but at a lower cost to the Crown balance sheet (figure 10).

So, if negative rates had been operationally available to the MPC in 2020, they would have been a preferred tool for supporting the economy.¹⁴ This is consistent with our view that the OCR is our preferred tool for managing the level of monetary stimulus through economic cycles, provided it is above its ELB. By extension, this implies that we would not use LSAPs outside of stabilising financial market dysfunction or of an acute economic crisis when the OCR is at its ELB.

Even so, there will always be an ELB for the OCR, even if it is slightly negative. Consequently, we need to remain ready to use LSAPs, in targeted circumstances, as and when required.

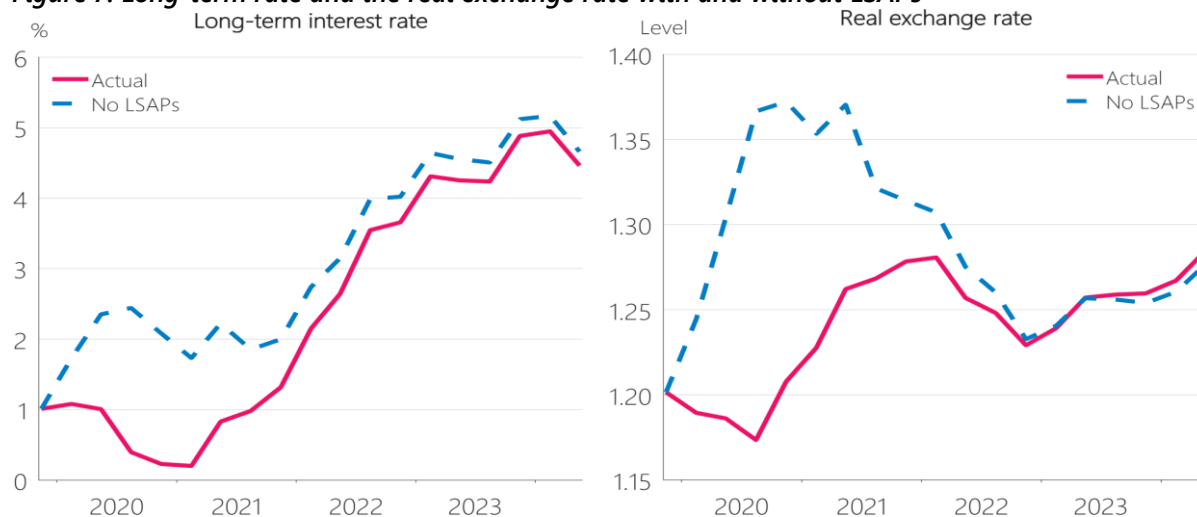
Figure 6: Bid-ask spreads in 2020



Source: Bloomberg, RBNZ estimates.

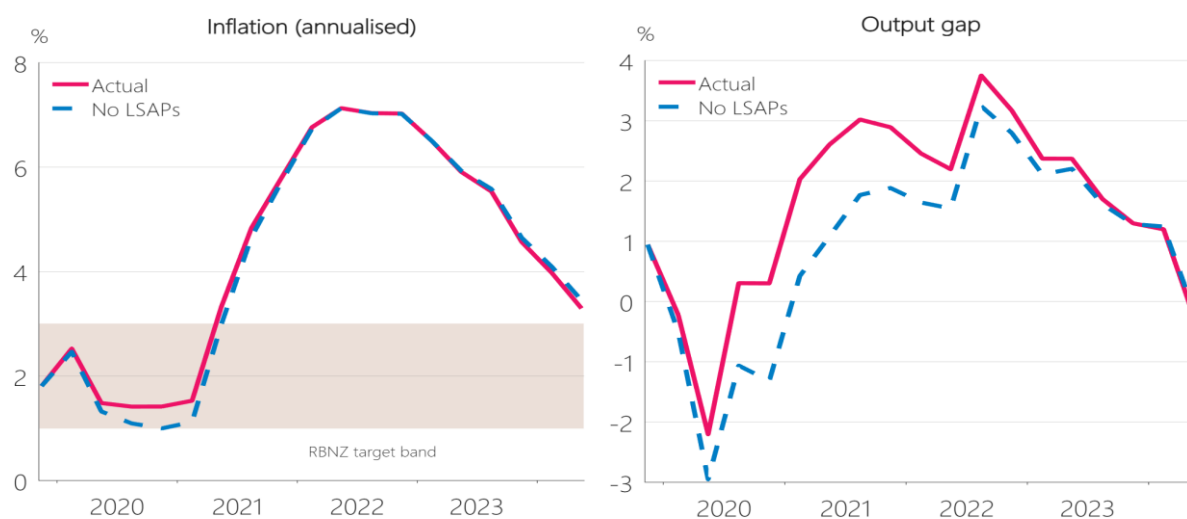
¹⁴ (Orr, 2020)

Figure 7: Long-term rate and the real exchange rate with and without LSAPs



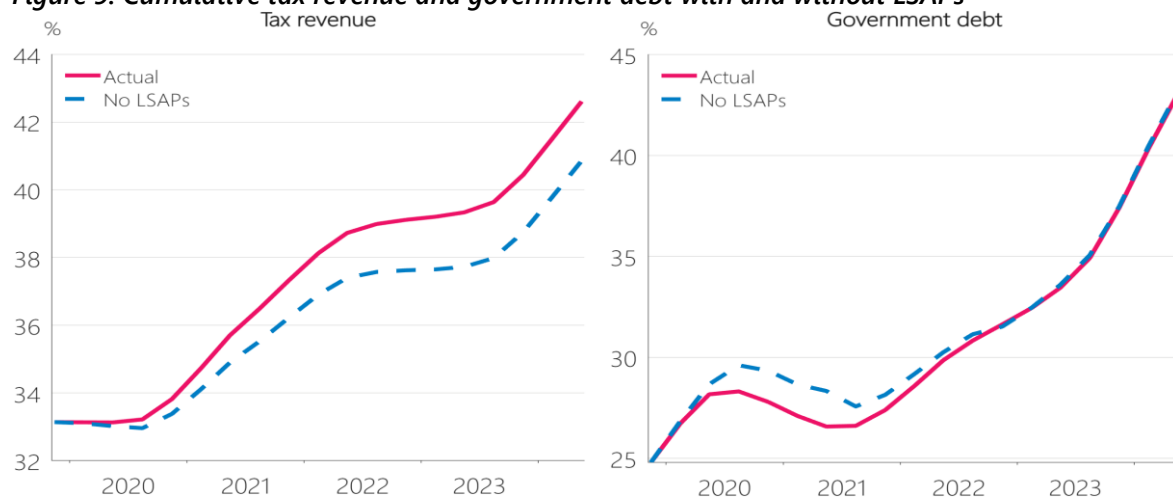
Source: (Chipeniuk, Kolasa, Lindé, Ludvich, & Quigg, 2025).

Figure 8: Consumer price inflation and output with and without LSAPs



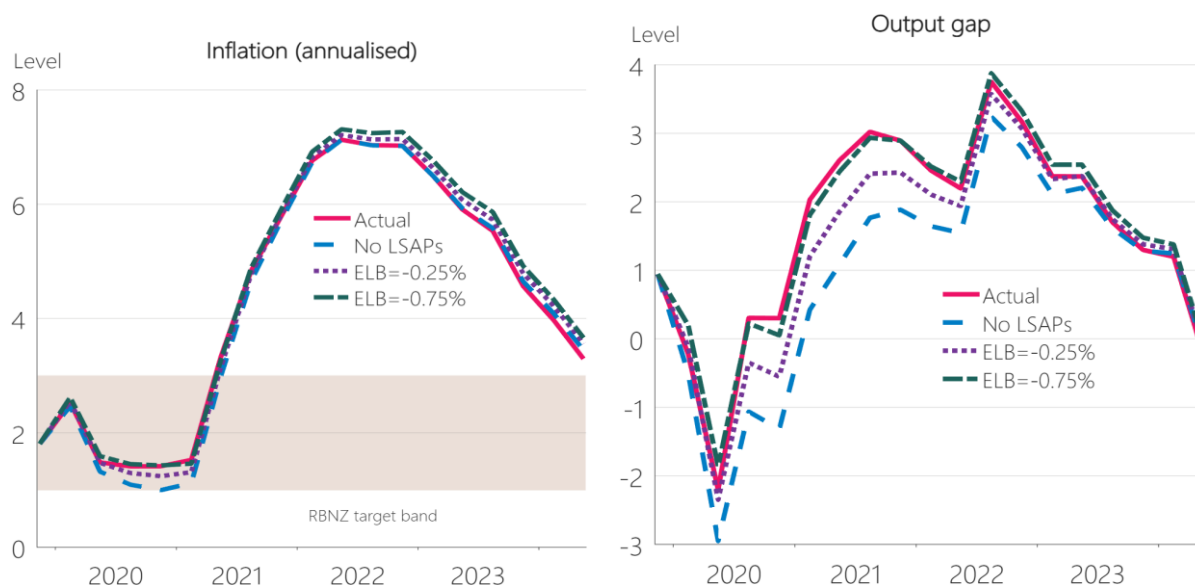
Source: (Chipeniuk, Kolasa, Lindé, Ludvich, & Quigg, 2025).

Figure 9: Cumulative tax revenue and government debt with and without LSAPs



Source: (Chipeniuk, Kolasa, Lindé, Ludvich, & Quigg, 2025).

Figure 10: Consumer price inflation and output with negative interest rates



Source: (Chipeniuk, Kolasa, Lindé, Ludvig, & Quigg, 2025).

Working alongside each other in a crisis

As I mentioned in the introduction, this speech does not revisit whether the right amount of monetary and fiscal stimulus was delivered in the pandemic. Our reviews show that, in hindsight, an earlier or stronger monetary tightening could have curbed inflation, but this was constrained by available data and the MPC's dual mandate at the time.¹⁵

Part of the reason why stabilisation policies proved so expansionary is the interaction of monetary and fiscal policy over the crisis. Ultimately, there is no 'one-size fits all' tool for macroeconomic stabilisation in a crisis and the best outcome is likely to come from a mix of monetary and fiscal policies, informed by lessons from past experience.

Getting that response right means having the ability for monetary and fiscal policymakers to work together closely in times of crisis. This means sharing perspectives on the crisis in real time, understanding each other's policy reaction functions, and the likely economic impacts of different stabilisation policies.

Crucially, working alongside each other does not mean joint decision-making. Indeed, any loss of monetary policy independence, even in a crisis, risks politicising inflation, fiscal dominance, and reducing the size of the zone of stability. This includes MPC having the operational independence to deploy AMP tools, such as the LSAP, to help stabilise the economy as and when required. Central bank credibility hinges on that readiness and a demonstrated commitment to keeping inflation anchored, even in extraordinary times.

The RBNZ and Treasury have recently clarified and strengthened institutional arrangements for working alongside each other. This includes an updated Memorandum of Understanding on the

¹⁵ "The Reserve Bank of New Zealand (Monetary Policy) Amendment Act 2018 formally added "supporting maximum sustainable employment" as one of the Reserve Bank's economic objectives, alongside "achieving and maintaining stability in the general level of prices over the medium term", effectively establishing a dual mandate central bank. The maximum sustainable employment (MSE) objective was subsequently removed by the Reserve Bank of New Zealand (Economic Objective) Amendment Act 2023 and reverted the Reserve Bank back to a primary focus on price stability." (Chen & Richardson, 2025)

role of the Treasury observer on the MPC to reinforce cross-agency communications. The RBNZ Board now has enhanced oversight and financial risk management protocols to reinforce fiscal responsibility in MPC decision-making and independence.¹⁶ We are also working on some broad guidelines on how to enhance monetary-fiscal co-ordination in times of crisis.

This approach aligns with international best practice, where central banks and governments maintain clear boundaries while sharing information and aligning objectives during extraordinary shocks.

Conclusion

In closing, New Zealand's pandemic experience shows that monetary and fiscal policy each play vital, distinct roles in stabilising the economy and can work powerfully together in a crisis.

Independent mandates and clear objectives for stability are critical, even as extraordinary shocks demand a pragmatic, well-informed response that leverages the strengths of both policy domains. While working together in a crisis is vital, it must not compromise the MPC's ability to act independently, lest it risk fiscal dominance or undermine public trust.

During the pandemic, LSAPs and assertive fiscal measures provided rapid support to households, businesses, and financial markets, helping to avert deeper economic harm. While the combined response ultimately contributed to an inflation outbreak, the debate on the role of LSAPs in macro stabilisation should not be conflated with the debate on whether the right amount of monetary and fiscal policy stimulus was delivered during the pandemic.

All stabilisation policies come with trade-offs. But the evidence suggests that LSAPs can play an essential role in mitigating financial and economic crises. How and when to use this tool depends on the circumstances and risks facing MPC. While the OCR is our preferred tool, we need to keep LSAPs in the toolbox for use in targeted interventions during financial and economic crisis in which the OCR has hit the ELB.

Even then, it is unrealistic to expect monetary or fiscal policy, whether acting independently or in concert, to perfectly offset every shock that comes our way. Adjusting to economic disruptions is a fact of life that ultimately promotes innovation, and resilience.

Looking ahead, we will continue improving our understanding of how AMP tools influence the economy and strengthen institutional arrangements to coordinate with our fiscal counterparts. As new evidence emerges, we'll continue to update our approach to remain as prepared as possible to help New Zealand weather whatever economic storms come our way. In doing so we must avoid choices that threaten monetary policy's operational independence or focus on medium-term inflation pressures.

Ultimately, the goal is resilient policy frameworks that allow each policy area to apply the right tool at the right time, anchoring inflation expectations, supporting sustainable growth while

¹⁶ There is an enhanced role for the RBNZ Board in managing and reporting on financial risks—including risks to the Government's balance sheet—under the [Statement of Financial Risk Management](#). Changes to the [MPC's risk appetite statement](#) and [Charter](#) now recognise the importance of financial risks and fiscal responsibility in MPC decisions.

safeguarding public confidence. By carrying forward the lessons of the pandemic, we can ensure New Zealand remains prepared for whatever economic storms lie ahead.

Thank you.